Opportunity analysis report

ABC Limited

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Financial snapshot ($ in thousands):

Revenue: 17,867	**Implied EBIDTA Multiple range:** 2.5x – 2.9x
EBIDTA: 6,857	**Implied EV:** $30,828 - $34,658
EBIDTA Margin: 38.40%	**MOIC:** 4.33
Gross Margin: 42.46%	**IRR:** 43%

Years in Operation: 54	**Products & Services:**	**Key Business Activity:**
Location: Fairbury, IL	• Specializes in precision CNC machining, grinding, and welding to produce high-quality parts for various industries. • Offers metal cutting and forming services, including waterjet cutting, stamping, and sawing, working with materials like steel, aluminum, and iron.	✓**Agriculture** ✓**Construction** ✓**Mining** ✓**Industrial Machinery** ✓**Heavy Equipment**

✓**Yes** ☐**No** ☐**Need more information**	**Recommendation** Investing in ABC Ltd is a compelling opportunity due to its strong financial performance, loyal customer base, and growth potential. However, the significant reliance on Caterpillar, owner dependency, and adjustments required for financial normalization present risks that must be carefully addressed. A robust transition plan and diversification strategy will be critical to maximizing the investment's long-term success. Therefore, with due diligence and mitigation measures, the recommendation is to proceed with the investment.

✓**Positive** ☐**Negative** ☐**Stagnant**	**Industry Trends** • Automation and advanced CNC technology are driving efficiency, with industry growth projected at 4.5% annually over the next five years. • Diversification into high-growth sectors like medical devices and electronics contributes to 25-30% of new revenue opportunities for manufacturers.

✓**Customer concentration** ☐**Industry decline** ✓**Owner dependency** ☐**Project based revenue**	**Risks** • With 88% of revenue tied to Caterpillar, the company is vulnerable to changes in the client's purchasing strategy.

☐Legal/Regulatory challenges	• The owner is moderately involved in operations, posing a risk during the transition to new ownership.

✓Market expansion **☐Marketing** **✓Customer acquisition** **✓Adding new locations**	**Growth Opportunities** • Reducing reliance on a single client by targeting new sectors such as medical devices, electronics, and renewable energy can enhance revenue stability. • Investing in advanced technologies like additive manufacturing and robotics can attract clients seeking innovative solutions. • Exploring markets beyond the current operational region can open new revenue streams and reduce market-specific risks.

Financial Performance

ABC Ltd achieved a 20.3% CAGR in revenue from 2020 to 2023, reaching $17.9 million in 2023. Adjusted EBITDA grew at a 42.8% CAGR, with a consistent margin averaging 16.6% over the same period. The business demonstrates strong profitability, driven by efficient operations and repeat customer loyalty. However, financials include non-recurring items like COVID relief, requiring adjustments for accurate valuation. The company's revenue stability is tied closely to its key client, Caterpillar.

Risks in-depth:

Customer concentration: Over 88% of revenue is generated from Caterpillar, making ABC highly dependent on one client, increasing vulnerability to their financial health.

Owner dependency:

- The current owner is moderately involved in operations and plays a key role in maintaining client relationships, which may cause disruptions during the transition period.
- The owner's planned exit after 1–2 years necessitates a strong succession plan to ensure leadership continuity and minimize operational risks.

Financial risks and considerations:

- **Abnormal line items:** The financials include non-recurring items like COVID-19 relief funds and insurance payouts, which may overstate profitability.
- **Revenue stability:** While revenue has grown at a 20.3% CAGR (2020–2023), heavy reliance on repeat business from a single customer poses stability risks.
- **Owner's compensation:** The owner's below-market salary inflates profitability. Replacing them with a market-rate executive (around $125,000 annually) will reduce net income and affect EBITDA margins, requiring adjustment in financial projections.

Growth opportunities:

- Reducing reliance on a single client by targeting new sectors such as medical devices, electronics, and renewable energy can enhance revenue stability.
- Investing in advanced technologies like additive manufacturing and robotics can attract clients seeking innovative solutions.

- Exploring markets beyond the current operational region can open new revenue streams and reduce market-specific risks.

Further considerations:

- Consider the industry's growing reliance on automation and advanced CNC technology, which may require future investment to remain competitive.

Final recommendation: ✓Invest ☐Don't invest (Give top 3 positives)

We should Invest in this company because:

- ABC achieved a 20.3% revenue CAGR and a 42.8% EBITDA CAGR from 2020 to 2023, showcasing consistent profitability.
- With 99% of revenue from repeat customers, including long-standing relationships with major clients like Caterpillar, the business demonstrates reliability and trust.
- The company has production capacity and opportunities to diversify its customer base and expand into new markets like medical and electronics.

However, we need to learn about the following risks:

- Customer Concentration Risk: Over 88% of revenue comes from a single client, Caterpillar, making the business highly dependent on their continued purchases.
- Owner Dependency: The owner's active involvement in operations could lead to disruptions during the ownership transition.
- Financial Adjustments: The financials include non-recurring items and below-market owner compensation, which may affect the true profitability post-sale.

Discounted Cash Flow Analysis

($ in thousands, except per share data)

Years		Projected 2024E	2025E	2026E	2027E	2028E
EBITDA		$ 7,709	$ 8,634	$ 9,498	$ 10,352	$ 11,181
EBIT		6,709	7,514	8,265	9,009	9,729
Tax	21%	(1,409)	(1,578)	(1,736)	(1,892)	(2,043)
Add: Depreciation & Ammortization		1,001	1,121	1,233	1,344	1,451
Less: Capex		96	96	96	96	96
Less: Change in NWC		141	110	103	102	98
Unlevered free cash flow		**$ 6,255**	**$ 7,042**	**$ 7,755**	**$ 8,455**	**$ 9,135**
Mid-year convention		0.11	1.11	2.11	3.11	4.11
PV of Unlevered free cash flow @ 20.1%		**$ 6,130**	**$ 7,042**	**$ 7,755**	**$ 8,455**	**$ 9,135**

Perpetuity Growth Method to find terminal value

Terminal growth rate	Undiscounted	Discounted	Implied EBITDA Multiple
2.00%	$ 51,471	$ 24,244	4.6x
4.00%	58,999	27,789	5.3x

Implied Enterprise Value range	**$ 33,378.84**	**$ 36,924.41**	LT Debt	$2,770
			ST Debt	$3,324
Equity Value range	**$ 27,421.84**	**$ 30,967.41**	Cash	$137
			Net Debt	**$ 5,957.00**

WACC Calculation

Source: https://www.wallstreetprep.com/knowledge/wacc-private-company/

Weight of debt	37.00%	
Cost of debt	1.09%	
Weight of equity	63.00%	
Cost of equity	7.60%	
Illiquidity premium	15.00%	
WACC + Illiquidity Premium	**20.10%**	
WACC	5.10%	10-year treasury rate as of 11.19.2024 (Ycharts)
Risk Free Rate	4.39%	
Beta	0.89	https://pages.stern.nyu.edu/~adamodar/New_ https://www.sofi.com/learn/content/average-stock-market-return/
Return on Market	12.39%	10-year S&P 500 returns as of 2023 (SoFi)
Equity Risk Premium	8.00%	
Interest expense	4.66%	

Beta Calculation

Name of the Comp	Country	Net Debt	Total Equity	TEV	Tax Rate [1]	Debt/ Equity	Equity/ Capital	Debt/ Capital	Levered Beta [2]	Unlevered Beta [3]	Re-levered Beta [3]
Kennametal Inc.	USA	$569	$2,174	$2,743	21.00%	26.17%	79.26%	20.74%	1.03	0.15	0.18
Proto Labs, Inc.	USA	-$114	$907	$793	21.00%	-12.57%	114.38%	-14.38%	1.03	1.14	1.03
ATI Inc.	USA	$1,598	$8,306	$9,904	21.00%	19.23%	83.87%	16.13%	1.03	0.89	1.03
Universal Stainless & Alloy Products, Inc.	USA	$69	$412	$481	21.00%	16.75%	85.65%	14.35%	1.03	0.91	1.03
Carpenter Technology Corporation	USA	$553	$9,196	$9,749	21.00%	6.01%	94.33%	5.67%	1.03	0.98	1.03

			High	114.38%	20.74%	0.82	**0.89**
Assumptions:			Low	79.26%	-14.38%		
Illiquidity premium of 15%			Median	85.65%	14.35%		
Normalised revenue and other expense to adjust for one off spikes			**Mean**	**91.50%**	**8.50%**		

Leveraged Buyout Analysis for ABC Limited

($ in thousands, except per share data)

Entry	
Current year	2023
Market Cap	$16,611
Current Debt	$6,094
Current Cash	$137
Current Net Debt	$5,957
Enterprise Value	**$22,568**
Equity Value	**$16,611**
LTM Revenue	$17,867
LTM EBITDA	$6,857
EV/EBITDA Multiple	3.29x
Fee & Expenses	$1,000 Assumption

Exit		
Exit year	2028	Assumption
Exit multiple	3.30x	

Capital Structure	Amount	Interest	
Revolver	$3,000	7.50%	Assumption
Bank Loan	$9,000	9.50%	Assumption
Senior Notes	$2,000	12.50%	Assumption

IRR (for reference)	
MOIC	3.63x
IRR	36.87%

Sources & Uses

Sources

	Amount	xEBITDA	% Capital
Revolver	$3,000	0.44x	12.73%
Bank Loan	$9,000	1.31x	38.19%
Senior Notes	$2,000	0.29x	8.49%
Total	**$14,000**	**2.04x**	**59.40%**
Sponsor Equity	$9,568	1.40x	40.60%
Total Sources	**$23,568**	**3.44x**	**100%**

Uses

	Amount	xEBITDA	% Capital
Debt Refinancing	$5,957	0.87x	25.28%
Purchase equity	$16,611	2.42x	70.48%
Fee & Expenses	$1,000	0.15x	4.24%
Total	**$23,568**	**3.44x**	**100%**
Total Uses	**$23,568**	**3.44x**	**100%**

Income Statement

Years	2023A	2024E	2025E	2026E	2027E	2028E
Sales	$17,867	$20,011	$22,412	$24,654	$26,872	$29,022
Sales Growth		*12.00%*	*12.00%*	*10.00%*	*9.00%*	*8.00%*
COGS	$10,280	$11,996	$13,436	$14,779	$16,109	$17,398
COGS % Sales	*57.54%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*
Gross Profit	$7,587	$8,015	$8,977	$9,875	$10,763	$11,624
Gross Profit % Sales	*42.46%*	*40.05%*	*40.05%*	*40.05%*	*40.05%*	*40.05%*
Operating Expenses	$1,152	$2,246	$2,515	$2,767	$3,015	$3,257
Operating Expense % Sales	*6.45%*	*11.22%*	*11.22%*	*11.22%*	*11.22%*	*11.22%*
Operating Income/Expense	-$557	$939	$1,052	$1,157	$1,261	$1,362
Operating Income/Expense % Sales	*-3.12%*	*4.69%*	*4.69%*	*4.69%*	*4.69%*	*4.69%*
EBIT	$5,878	$6,709	$7,514	$8,265	$9,009	$9,729
EBIT Margins	*32.90%*	*33.52%*	*33.52%*	*33.52%*	*33.52%*	*33.52%*
Dep & Amm	$979	$1,001	$1,121	$1,233	$1,344	$1,451
Dep & Amm % Sales	*5.48%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*
EBITDA	$6,857	$7,709	$8,634	$9,498	$10,352	$11,181
EBITDA Margins	*38.38%*	*38.52%*	*38.52%*	*38.52%*	*38.52%*	*38.52%*
Net Interest Expense	$284	$1,330	$821	$581	$421	$308
Interest % Sales	*1.59%*	*6.65%*	*3.66%*	*2.36%*	*1.57%*	*1.06%*
Dep & Amm	$979	$1,001	$1,121	$1,233	$1,344	$1,451
Dep & Amm % Sales	*5.48%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*
EBT	$5,594	$5,379	$6,693	$7,684	$8,588	$9,422
EBT Margins	*31.31%*	*26.88%*	*29.86%*	*31.17%*	*31.96%*	*32.46%*
Tax	-$1,175	-$1,129	-$1,405	-$1,614	-$1,803	-$1,979
Effective Tax Rate	$0	$0	$0	$0	$0	$0
Net profit	$4,419	$4,249	$5,287	$6,070	$6,784	$7,443
Net Margins	*24.73%*	*21.23%*	*23.59%*	*24.62%*	*25.25%*	*25.65%*

Cash Flow Items

Years	2023A	2024E	2025E	2026E	2027E	2028E
Dep & Amm	$979	$1,001	$1,121	$1,233	$1,344	$1,451
Dep & Amm % Sales	*5.48%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*
Net Working Capital	$775	$916	$1,026	$1,129	$1,230	$1,329
NWC % Sales	*4.34%*	*4.58%*	*4.58%*	*4.58%*	*4.58%*	*4.58%*
Change in NWC	$74	$141	$110	$103	$102	$98
Capex	-$96	-$96	-$96	-$96	-$96	-$96
Capex % Sales	*-0.54%*	*-0.48%*	*-0.43%*	*-0.39%*	*-0.36%*	*-0.33%*

Levered Free Cash Flow

Years	2023A	2024E	2025E	2026E	2027E	2028E
Net Income	$4,419	$5,075	$5,711	$6,305	$6,893	$7,462
Dep & Amm	$979	$1,001	$1,121	$1,233	$1,344	$1,451
Capex	-$96	-$96	-$96	-$96	-$96	-$96
Change in NWC	$74	$141	$110	$103	$102	$98
Levered Free Cash Flow	**$5,421**	**$6,031**	**$6,818**	**$7,531**	**$8,231**	**$8,911**

Debt Schedule

Years	2023A	2024E	2025E	2026E	2027E	2028E
Revolver						
Beginning Balance		$3,000	$300	$30	$0	$0
Interest		$225	$23	$2	$0	$0
Paydown		$2,700	$270	$30	$0	$0
Ending Balance	**$3,000**	**$300**	**$30**	**$0**	**$0**	**$0**
Bank Loan						
Beginning Balance		$9,000	$6,300	$4,410	$3,087	$2,161
Interest		$855	$599	$419	$293	$205
Paydown		$2,700	$1,890	$1,323	$926	$648
Ending Balance	**$9,000**	**$6,300**	**$4,410**	**$3,087**	**$2,161**	**$1,513**
Senior Notes						
Beginning Balance		$2,000	$1,600	$1,280	$1,024	$819
Interest		$250	$200	$160	$128	$102
Paydown		$400	$320	$256	$205	$164
Ending Balance	**$2,000**	**$1,600**	**$1,280**	**$1,024**	**$819**	**$655**
Total Debt						
Beginning Balance		$14,000	$8,200	$5,720	$4,111	$2,980
Interest		$1,330	$821	$581	$421	$308
Paydown		$5,800	$2,480	$1,609	$1,131	$812
Ending Balance	**$14,000**	**$8,200**	**$5,720**	**$4,111**	**$2,980**	**$2,168**

IRR

LTM EBITDA at Exit	$11,181
Exit Multiple	3.30x
Enterprise Value	$36,924
Net Debt	$2,168
Sponsor Equity Value	**$34,756**
Sponsor Equity at Entry	$9,568
MOIC	**3.63x**
IRR	**36.87%**